

STUDY GUIDE

UNITED NATIONS SECURITY COUNCIL



Agenda: Strengthening Mechanisms Against the Circumvention of International sanctions





Letter from R&D

Dear Delegates,

It gives the Department of Research & Development, MUN Society MPSTME, immense pleasure to welcome you to the 12th edition of Mumbai MUN! True to our legacy, we remain committed to upholding and building upon a tradition of fostering informed discussions on matters of widespread concern.

We are primarily responsible for formulating relevant agendas and developing study guides that aim at imparting a holistic understanding of the issues at hand. This document has been prepared with a *first principles* approach, meant to play a part in orienting the committee discussions towards one that rises above the convention, and is characterised by substantiveness and inclusivity.

This year's theme, 'Voice Amidst the Void,' stands to remind us that when ideals fade into absence, voices must prevail. In an increasingly complex world, with an absence of conviction and shared purpose, we believe that the introduction of new ideas and impactful discourse is the need of the hour. True progress requires us to have the courage and willingness to speak up, have our perspectives heard, and to make sure that no voice is lost amidst a void of apathy.

Keeping this theme in mind, we have deliberately curated committees and agendas that focus on issues often overlooked in global conversations, in order to foster meaningful dialogue and resolution where it is most needed. In this study guide, you will find well-researched background information to help you prepare for your committee sessions. As facilitators, our aim is to equip you with the resources and insights you need to make the most out of your experience at Mumbai MUN.

We look forward to your active participation and contributions during Mumbai MUN and are confident that, together, we can make this conference an inspiring, enriching, and especially memorable experience for all.

Best wishes,

Department of Research & Development,
MUNSociety MPSTME.

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Agenda: Strengthening Mechanisms against the Circumvention of International Sanctions

COMMITTEE OVERVIEW

One of the six primary organs of the United Nations, the United Nations Security Council (UNSC) is the primary crisis management body of the UN. In accordance with Article 1, Section C of the UN Charter, it has the authority to bind all the 193 UN member states to uphold global peace and security. Often referred to as the UN's executive body, the UNSC meets regularly to assess and deal with threats relating to global security, which include war conflicts, terrorism, civil wars, and nuclear proliferation. According to the United Nations Charter, the UNSC has the responsibility to maintain international peace and security. Under the Charter, it is empowered to investigate and settle conflicts. It has the power to enforce the Charter by using force, if necessary.¹

The UNSC primarily consists of fifteen member states. Five are permanent members who cannot be removed from the Council. Ten members are elected to the Council on a two-year term from the remaining member states in the UNGA. The five members are vested with a veto power, making the Security Council the only UN body to incorporate a veto power. Certain nations also act as observer nations to the Council in matters where necessary.²

According to the UN charter, the UNSC has three sets of major powers - Settlement powers, Enforcement powers and Resolution Powers. It

has the authority to deploy UN peacekeeping forces to resolve conflicts when necessary; it can also create research or investigative excursions to gather important information relating to potential threats. It oversees the admission of new UN members and can approve changes to the UN charter. The UNSC is the only body that can authorise the use of force by member states, except in cases of individual self-defence. The Council can mandate economic sanctions or trade embargoes against nations threatening peace and security.³

The UN Charter is the primary source of the UNSC's legality. Ad hoc tribunals, sanctions, and peacekeeping missions are some actions of the UNSC that have considerable implications on international law. While analysing the matter at hand, it is necessary to consider the binding nature of the resolutions adopted under Chapter VII of the Charter. In accordance with Article 13 (b) of the Rome Statute, the Security Council can refer certain situations to the Prosecutor of the International Criminal Court (ICC) if it appears international crimes (genocide, crimes against humanity, and/or war crimes) have been committed. If the council cannot reach a consensus or a passing vote on a resolution, it may choose to produce a non-binding presidential statement instead of a resolution.⁴

¹ (What Is the Security Council? | Security Council, n.d.) <https://main.un.org/securitycouncil/en/content/what-security-council>

² (The UN Security Council, 2025). Council on Foreign Relations <https://www.cfr.org/backgrounder/un-security-council>

³ (What Is the Security Council? | Security Council, n.d.) <https://main.un.org/securitycouncil/en/content/what-security-council>

⁴ (Duffy, n.d.) Legal boundaries of the UN Security Council: Limitations in the use of targeted sanctions. Lund University Publications <https://lup.lub.lu.se/luur/download?func=downloadFile&recordId=1557304&fileId=1564277>



The Security Council Chamber, New York
Source: Britannica

AGENDA OVERVIEW

Sanctions

Sanctions are political and economic coercions that are part of diplomatic efforts by a country, multilateral or regional organisations against states or organisations to protect national security interests, or to protect international law, and defend against threats to international peace and security. These decisions primarily involve the temporary imposition of economic, trade, diplomatic, cultural, or other restrictive sanctions measures on a target, which are lifted when the motivating security concerns no longer apply or when no new threats have arisen. According to Chapter VII of the United Nations Charter, only the UNSC has a mandate by the international community to apply sanctions as mentioned in Article 41. Sanctions passed by UNSC must be complied with by all UN member states as mentioned in Article 2, Subarticle 2.^{5 6}

Circumvention

Circumvention of sanctions refers to the intentional act of evading sanctions through concealment, mislabeling, re-routing, or facilitating goods or transactions to bypass them and is often done through financial, commercial, technical, or legal means. It may include intermediaries or enablers and entail asset freezes, arms embargoes, designations, and sectoral restrictions, thereby reducing their functionality and effectiveness. The Circumvention of sanction contravenes the UN Charter, Chapter V, Article 5 and is therefore considered to be a major crime. Some tactics to evade sanctions include using shell companies, utilising virtual assets, and manipulating documentation to hide trade finance embargoes.⁷

DRIVERS

Economic Drivers

Sanctions circumvention often involves the pursuit of profits through black-market pricing differentials and the creation of lucrative rents. Moreover, maritime concealment, through ship-to-ship petroleum and coal transfers, manifested in, for example, the case of the Democratic People's Republic of Korea, illustrates how logistical subterfuge and falsified documentation convert scarcity into windfall margins that remunerate brokers and flag-of-convenience operators.⁸

⁵ Justice 2024 Financial Crime Academy. (2025, July 30). What are sanctions? How do sanctions work? *Financial Crime Academy*. <https://financialcrimeacademy.org/what-are-sanctions-how-do-sanctions-work/>

⁶ United Nations. (n.d.-a). *UN Chapter VII: Action with respect to threats to the peace, breaches of the peace, and acts of aggression (articles 39-51)*. United Nations. <https://www.un.org/en/about-us/un-charter/chapter-7>

⁷ EU sanctions: new rules to crack down on violations | News | European Parliament. (n.d.). <https://www.europarl.europa.eu/news/en/press-room/20240308IPR19002/eu-sanctions-new-rules-to-crack-down-on-violation>

⁸ Supply, sale or transfer of all refined petroleum products to the DPRK. Security Council. (n.d.-b). <https://main.un.org/securitycouncil/en/sanctions/1718/supply-sale-or-transfer-of-all-refined-petroleum>

Furthermore, shadow fleets and AIS-disabled tankers, apparently used by states such as Iran, demonstrate how transshipment, identity alteration, and phantom cargo records monetise crude oil despite embargoes, sustaining state revenue streams and patronage networks.⁹

Nextly, it has been found that resource dependence amplifies similar pressures, with hydrocarbon and mineral rents constituting existential fiscal lifelines for sanctioned regimes. This, resultantly, can incentivise elaborate evasion architectures, including resource-for-credit schemes and opaque state-linked intermediaries, as observed in Venezuela's oil-backed financings. Survival economics, therefore, sometimes transmutes sanctions into a framework of regime continuity, where authorised actors prioritise regime durability over humanitarian costs and redeploy state apparatus to underwrite illicit markets.¹⁰

Third-country incentives, embodied by re-export entrepôts and permissive free zones like in the Gulf and Eurasian transshipment nodes, generate regulatory arbitrage that externalises risk and rewards intermediaries who facilitate origin-obfuscation and certificate fraud. Nested correspondent banking, layered shell corporations, trade misinvoicing, and alternative messaging systems create opacity in global finance.¹¹ These vulnerabilities are often further exploited via cryptocurrency mixers, stablecoin rails, and hawala-style networks, further

complicating detection and oversight. In order to be operationalised, such mechanisms require deliberate legal & technical workarounds like front companies, complex ownership chains, forged bills of lading, as well as cyber-theft of virtual assets. The latter can, in its way, produce a self-reinforcing ecosystem of evasion.¹²

Notable empirical instances also include Russia's alleged use of third-party intermediaries and trading vehicles. These cases, corroborated by UN Panels, FATF typologies, financial advisories, and investigative journalism, confirm the systemic, entrenched, and adaptable quality of modern sanctions evasion and demand sustained multilateral remedies urgently.¹³

Political Drivers

Political drivers for sanctions circumvention are usually closely linked to governments' diplomatic and strategic interests. Governments might see sanctions as a matter of personal prestige to their sovereignty and will resist compliance to maintain independence and not look vulnerable internationally. Avoiding restrictions for others is often a calculated action to maintain national dignity and political integrity. In other instances, leaders define circumvention as a matter of national security; they see such measures as a reaction that safeguards national interest and is a bulwark against foreign interference.

⁹ Dutta, P. K. (2025, January 8). How Iran moves sanctioned oil around the world. *Reuters*.
<https://www.reuters.com/graphics/IRAN-OIL/zjpqngedmvx/>

¹⁰ Chavkin, S. (2022, March 24). How banks helped Venezuela's 'boligarchs' extract billions - ICIJ. *International Co.,nsortium of Investigative Journalists*. <https://www.icij.org/investigations/fincen-files/how-banks-helped-venezuelas-boligarchs-extract-billions/>

¹¹ Cornwell, A. (2024, May 1). U.S. allies press UAE over Russia trade, sanctions. *Reuters*.
<https://www.reuters.com/world/us-allies-press-uae-over-russia-trade-sanctions-2024-05-01/>

¹² Financial Action Task Force. (2025). *Complex proliferation financing and sanctions evasion schemes*. <https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/Complex-PF-Sanctions-Evasions-Schemes.pdf>

¹³ Farivar, M. (2023, March 7). *US warns about increasing use of intermediaries to evade Russia sanctions*. Voice of America.
<https://www.voanews.com/a/us-warns-about-increasing-use-of-intermediaries-to-evade-russia-sanctions/6992824.html>

Leaders of states, where said sanctions are applied, may alternatively stress that sanctions are not for right or justice, but for the geopolitical ends of powerful states, thus turning compliance into an act of subordination rather than an international obligation. For example, DPRK has long spoken about UN sanctions as “imperialistic aggression”, using illicit trade and cybercrime tools to claim it is defending its sovereignty.¹⁴

Geopolitical alignments also can come into play, with collaborative allies assisting one another to avoid sanctions, to acquire strategic cooperation, or sustain access to critical resources. States may be coerced into circumvention sanctions by their allies if it causes significant implications on global geopolitics. Sanctioned states, as well, are likely to turn to sympathetic states or blocs opposed to the sanctioning powers and pose cooperation as solidarity against perceived world imbalances. These rivalries often bleed into multilateral institutions, where the governments under sanction and their allies attempt to block solutions or water down enforcement action, thereby further undermining the uniformity of sanctions regimes. This was demonstrated when, during the Cold War, South Africa, despite international isolation, secured secret trade deals thanks to Western and Soviet bloc rivalries. More recently, as Europe has sought to reduce its dependence on Russian energy, the latter has turned towards Chinese, Indian, and Middle Eastern markets for energy imports.¹⁵

Political calculations domestically cannot be ruled out. Sanctioned leaders can use the rhetoric of foreign aggression to mobilise domestic unity,

rallying domestic constituents against what they portray as unjust international pressure. This not only serves to justify circumvention but also to concentrate more power, as the government is shown as a protector of national sovereignty. In addition, opposition or the poor can protest foreign sanctions too, arguing that they are disproportionately aimed at civilians and thus need to be resisted. Politically motivated, these arguments grant legitimacy to governments in resisting compliance, persuading evasion to seem not only convenient but even moral in the home country.¹⁶ An example that is often cited is that of Zimbabwe, where its Leaders have traditionally insisted that UNSC sanctions and related measures were tools of regime change, rallying public support by characterising them as collective punishment.¹⁷

Technological Drivers

Multiple technological drivers complement traditional methods of circumventing sanctions. Firstly, cryptocurrencies and digital assets furnish decentralised, pseudo-anonymous rails that permit cross-border value transfers without intermediary reconciliation. This ultimately enables sanctioned actors to fragment receipts across custody models to frustrate attribution. Crypto obfuscation routinely employs sanctioned mixers and tumblers, decentralised finance protocols, cross-chain bridges, and fiat-pegged stablecoins. This is done to layer and relay value through peel-chains and nested wallets, while chain-hopping and timed sweeps defeat simple heuristics.

¹⁴ Reuters Staff. (2022, June 26). North Korea denounces U.S. “aggression” as it marks war anniversary. *Reuters* for . <https://www.reuters.com/world/asia-pacific/north-korea-denounces-us-aggression-it-marks-war-anniversary-2022-06-25/>

¹⁵ (Savic, 2025) Sanctions and the geopolitics of trade <https://www.gisreportsonline.com/r/sanctions-trade-routes/>

¹⁶ Political divides drive a reassessment of UN sanctions | International Crisis Group. (2024, August 26). International Crisis Group. <https://www.crisisgroup.org/global/political-divides-drive-reassessment-un-sanctions>

¹⁷ Zimbabwe hits out against international sanctions during address to UN debate. (2010, September 24). UN News. <https://news.un.org/en/story/2010/09/35297a-violent-2>

Moreover, Darknet marketplaces and end-to-end encrypted communications provide operational infrastructure for trade, coordination, and bespoke laundering services. Such practices can help convert illicit proceeds into apparently legitimate holdings.

Finally, it has been found that digital subterfuge complements maritime circumvention. AIS spoofing, deliberate transponder deactivation (so-called "going dark"), flag-hopping, falsified voyage declarations, and coordinated ship-to-ship transfers create blind corridors for sanctioned commodities and erase provenance.

Case precedents are instructive, as data from Chainalysis points out. It has placed quantified illicit crypto flows at about \$20.1 billion in 2022, with a disproportionate share tied to sanctioned entities.¹⁸ Additionally, OFAC action against Tornado Cash exemplifies mixer utility in laundering Lazarus-linked proceeds and the legal ambiguities regulators confront. More concerning, the Ronin/Axie exploit and successive Democratic People's Republic of Korea convertible-asset hacks illustrate the use of state-sponsored cyber theft funnels that ultimately crystallise into financial firewalls for prohibited programmes.^{19 20}

These modalities operate symbiotically rather than sequentially, producing resilient evasion architectures that demand integrated intelligence fusion, expedited inter-jurisdictional data-sharing, constrained on- and off-ramp controls, rapid Virtual Asset Service Provider (VASP) supervision, as well as targeted maritime

forensics to disrupt. Political will and legal harmonisation remain indispensable to convert technical detection into actionable interdiction urgently.²¹

Legal and Administrative Drivers

Several legal and administrative drivers can cause states to find ways to circumvent sanctions. Problems within the country's judiciary can be a definitive cause to circumvent sanctions. Courts themselves might be poorly resourced, unaware of the intricacies of international sanctions, or resource-constrained, leading to delays in cases. Offenders are able to exploit these vulnerabilities, using legal uncertainty or slow courts to delay. Such a delay is usually a substantial interval, for example, to transfer funds or reconstitute their holdings in such a manner that sanctions make themselves effectively impossible to implement. Differences in the way courts interpret evidence or sanction each other's decisions further divide efforts to act together, leaving loopholes on the global level. Even sanctions themselves can be imperfectly designed from a legal point of view.

There are at times vague definitions, incomplete lists, or overly broad exemptions written in for humanitarian goods or dual-use goods. These gaps can, and often are, taken advantage of. It is not uncommon for shrewd players to miscode trades or produce paper trails that outwardly look valid, only to ultimately allow illegal commerce to slip through. Failures in monitoring the true owners of businesses, or beneficial ownership, mean that embargoed persons can simply wrap

¹⁸ Howcroft, E. (2023, January 12). Crypto crime hits record \$20 bln in 2022, report says. Reuters. <https://www.reuters.com/business/finance/crypto-crime-hits-record-20-bln-2022-report-says-2023-01-12/>

¹⁹ U.S. Treasury sanctions notorious virtual currency mixer tornado cash. (2025, February 8). U.S. Department of The Treasury. <https://home.treasury.gov/news/press-releases/jy0916>

²⁰ Wilson, T., & Howcroft, E. (2022, March 30). Explainer: Ronin's \$615 million crypto heist. Reuters. <https://www.reuters.com/technology/ronins-615-million-crypto-heist-2022-03-30/>

²¹ Treasury sanctions Russia-Based Hydra, world's largest darknet market, and Ransomware-Enabling virtual currency exchange Garantex. (2025, February 8). U.S. Department of The Treasury. <https://home.treasury.gov/news/press-releases/jy0701>

themselves in tiers of shell companies or intermediaries and remain largely invisible to the authorities. The intrigue comes in when considering the method of enforcement of sanctions.

Not all states enforce sanctions equally, usually because of national interest, diplomatic connections, or economic reasons. If a state under-enforces or even ignores sanctions, in doing so, it inadvertently creates for itself a hotspot of people wanting to circumvent sanctions. This is because even the strongest international framework is only as strong as each state's laws that are on board.

Supervisory authorities are often undermined by slender personnel or limited technical competence. As a result, professionals like lawyers, bankers, or accountants sometimes facilitate these tax evasion schemes deliberately or inadvertently, taking advantage of inadequate legal monitoring, largely in sophisticated, cross-border transactions.²² Lastly, the handicaps embodied by such legal weaknesses are two-way. If the judiciary is under-resourced, the sanction design is weak, implementation is disjointed, and laws lack bite. Individuals who would like to go around restraints will have no shortage of mechanisms to try.²³

MECHANISMS

Maritime Mechanisms

Circumvention by maritime sanctions is a major difficulty faced by the UNSC when it enforces

sanctions. Typical methods of concealment include ship-to-ship transfers, AIS manipulation, phantom fleets, false flagging, flag hopping, falsified documents, and other forms of creative concealment.

Firstly, Ship-to-Ship (STS) transfers are a key mechanism for circumvention. In this way, cargo is transferred from one ship to another, often at night or in isolated waters. These transactions are frequently conducted in areas like the South China Sea, where North Korean oil is shipped to foreign vessels. Vessels change tracking before these transfers, making detection by the authorities very difficult.²⁴ Each handover hides the origin of the cargo, making interdiction difficult. While these are legitimate activities in commercial traffic, they are systematically employed to hide the transport of banned goods.

Furthermore, the Automatic Identification System (AIS) allows ships to be tracked and enhances safety at sea by broadcasting their location. However, ships involved in circumvention frequently turn off this system or send false data. Iranian tankers, for instance, have disappeared off the radar for months at a time, while operating near sanctioned markets, only to reappear with new or falsified voyage data. Falsifying AIS data helps ships avoid

²² Chandra, V. (n.d.). *Ending corporate anonymity: beneficial ownership, sanctions evasion, and what the United Nations should do about it*. University of Michigan Law School S.c.,,shippingolarship Repository.
<https://repository.law.umich.edu/mjil/vol42/iss1/5/>

²³ Brandon, B. (2022, July 28). Spotting and preventing sanctions circumvention. *Mishcon de Reya LLP*.
<https://www.mishcon.com/news/spotting-and-preventing-sanctions-circumvention>

²⁴ North Korea: South seizes ship amid row over illegal oil transfer. (2017, December 29). BBC.
<https://www.bbc.com/news/world-asia-42510783>

detection during high-risk activities involving secret transfers or port calls.²⁵

Next, Phantom fleets, which also include shadow fleets, operate almost entirely out of the view of regulators. The ships in these fleets tend to be old and owned through complex offshore structures. Sudden changes of vessel names, registries, and insurance policies are a common occurrence. A 2023 case in point: Russian oil tankers transporting oil on behalf of newly formed shell companies, with counterfeit documents that make them difficult to track. Phantom fleets facilitate trade for sanctioned states despite comprehensive embargoes.²⁶

Flag registry exploitation is also a well-known circumvention tactic. False flagging is when a vessel uses a false or unauthorised flag, while flag hopping is when a vessel changes flags several times in order to avoid detection or new bans. To give an example, it was observed in 2025 that the crude oil tanker Sooraj engaged in rapid flag hopping following its sanction designation by the UK as measures targeting the Russian "shadow fleet." Originally flagged to Gabon when first sanctioned on 24th February, it switched its Maritime Mobile Service Identity (MMSI) to Panama on March 14 and then to Djibouti on April 7.²⁷



Sooraj crude oil tanker, photographed off the coast of Denmark
Source: ShipSpotting

Circumvention extends beyond paperwork or routing. Sanctions violators frequently change the visible appearance of ships, redecorating names and hull numbers or obscuring identification marks. Ships go roundabout or indirect routes, make unscheduled port stops, or linger for prolonged periods in international waters. In 2021, a sanctioned tanker, for instance, travelled to Turkey on an unanticipated route, coming with its name recently repainted. Smuggling may also entail blending restricted goods, e.g., hiding oil under legitimate cargo, or bunching cargo via compliant third-party terminals.²⁸

Private-Sector Mechanisms

In the private sector, shell companies play an overarching role in helping circumvent sanctions. They essentially are paper incorporations in secrecy havens that operationalise layering by various sophisticated means. These include the

²⁵ How Iran moves sanctioned oil around the world. (n.d.). Reuters. <https://www.reuters.com/graphics/IRAN-OIL/zjpqngedmvx/>

²⁶ Samoškaitė, I. (2025, April 25). *The threats posed by the global shadow fleet—and how to stop it* - Atlantic Council. Atlantic Council. <https://www.atlanticcouncil.org/in-depth-research-reports/report/the-threats-posed-by-the-global-shadow-fleet-and-how-to-stop-it/>

²⁷ *Flag hopping hits unprecedented levels among sanctioned fleet*. (2025, April 25). Lloyd's List. <https://www.lloydslist.com/LL1153276/Flag-hopping-hits-unprecedented-levels-among-sanctioned-fleet>

²⁸ *Evading sanctions through deceptive shipping practices*. (2022). Moodys.com. <https://www.moodys.com/web/en/us/kyc/resources/insights/evading-sanctions-through-deceptive-shipping-practices.html>

usage of nominee shareholders, interposed shells, and correspondent-bank corridors to sever audit trails and obscure ultimate beneficial owners. In one case, OFAC's 2024 disclosure of Cyprus-routed conduits relaying funds for designated Russian actors demonstrates the use of nominee-layering and bank-relay techniques. This was detected through dormant corporate accounts that abruptly processed high-value transfers, circular payment chains, repeated nominee names, and registry/transaction mismatches revealed by forensic financial analytics and Beneficial Ownership cross-checks.

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Front companies, which play a role similar to shell companies, often masquerade as legitimate traders, while embedding dual-use or sanctioned consignments within bona fide trade. This is done via misdeclared HS codes, layered invoicing, and third-party brokers. For instance, the 2024 indictment of Chinese nationals by the US Department of Justice.³⁰ This was done at the pretext of their using commercial fronts to ship U.S.-origin electronic components to Iranian military end-users, exemplifying procurement via benign façades.³¹

Another modality of private sector circumvention includes the erection of juridical façades by nominee directors and straw men through proxy signatories, bearer-instrument proxies, and gateway registries. This is done to evade KYC and

conceal controllers. This was exemplified by an ICIJ report that documented systemic nominee-service abuse across Panama, BVI, and similar offshore hubs used to mask true controllers.³²

It must also be stated that complex corporate structures construct multi-jurisdictional pyramids, circular ownership loops, trusts, and special-purpose entities (SPEs) to fragment ownership and fracture audit trails by interposing opaque vehicles below regulatory thresholds. Institutions responsible for enforcement have thus attempted to take measures specifically to deal with the same. For instance, FATF and Treasury typologies (2022–25) catalogue SPE and trust usage to route sanctioned goods and sensitive technology through tertiary jurisdictions (2022–2025).³³

Falsified documentation, forged customs declarations, counterfeit certificates of origin and false end-user attestations are salient paradigms used by private-sector entities to evade sanction regimes. These are actualised by various methods, like PDF/metadata tampering, template cloning. This list also includes manipulated bills of lading effectuated through complicit notarial endorsement to recharacterise consignments. For instance, investigative and enforcement reporting has revealed that forged manifests and origin papers were used to disguise Iranian and other sanctioned cargoes across various regions. The detection for the

²⁹ U.S. Department of the Treasury. (n.d.). Press release JY2337. <https://home.treasury.gov/news/press-releases/jy2337>

³⁰ *Chinese nationals charged with illegally exporting U.S.-origin electronic components to Iran and Iranian military affiliates*. District of Columbia | Chinese Nationals Charged With Illegally Exporting U.S-Origin Electronic Components to Iran and Iranian Military Affiliates | United States Department of Justice. (2024, January 31). <https://www.justice.gov/usao-dc/pr/chinese-nationals-charged-illegally-exporting-us-origin-electronic-components-iran-and>

³¹ World Bank—StAR Initiative. (2022). The role of nominees in facilitating grand corruption (PDF). https://star.worldbank.org/sites/default/files/2022-04/star-nominees_final.pdf

³² Financial Action Task Force. (n.d.). Complex PF sanctions evasions schemes (PDF). <https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/Complex-PF-Sanctions-Evasions-Schemes.pdf.coredownload.inline.pdf>

³³ Financial Crimes Enforcement Network. (2025, June 6). Advisory: Illicit oil smuggling (PDF). <https://www.fincen.gov/sites/default/files/advisory/2025-06-06/fincen-Advisory-Illicit-Oil-Smuggling-508.pdf>

same was facilitated through forensic document analytics (metadata and pixel/ink artefact analysis), parallel-trade reconciliation, and container tracking with customs audit triggers.³⁴

Re-labelling and blending in hydrocarbons exploit ship-to-ship transfers, commingling, cargo batching, and rebranding at transshipment hubs to mask provenance and dilute isotopic signatures. A Case in point include a FinCEN advisory and Reuters investigations that document AIS disablements, covert STS transfers, and relabelling where Iranian crude was disguised as alternate blends. This was detected with the help of continuous AIS/satellite monitoring, STS surveillance, spectral/isotopic assays, and tanker telemetry fusion.³⁵

Lastly, Free trade zones (FTZs) are sometimes misused as re-export hubs and hub-and-spoke routing nodes under minimal inspection regimes, enabling rapid re-packaging and re-documentation.³⁶ For example, trace and FATF typologies (2010–2024) document FTZ facilitation of masked flows in Dubai, Panama, and other permissive zones, and in such cases, the throughput was found to be disproportionate relative to local economic activity. Such mismatches between FTZ export declarations and downstream import records, coupled with container-scan anomalies, highlight the role that

Free Trade Zones can play in empowering transgressors.³⁷

Financial Mechanisms

There is a litany of financial mechanisms that greatly aid in sanctions circumvention, and the matter of most concern is that many of these tend to be the least understood by institutions and entities tasked with regulating and combating sanctions circumvention. A major category of financial mechanisms for said circumvention is Trade-based money laundering (TBML).³⁸ This is effected by deliberate misstatement of price, quantity, or quality to transfer value covertly, typically via over-invoicing, under-invoicing, phantom consignments, falsified bills of lading, or HS-code misclassification. Forensic signatures to prioritise are unit-price deviations versus Platts/Reuters benchmarks; persistent mirror-data divergence between exporter and importer filings; multiple invoices tied to one physical consignment; and post-payment document amendments (often channelled through freight forwarders or hubs with opaque ownership structures).³⁹

Moreover, with regards to TBML, Mis-invoicing and engineered over- or under-valuation tend to be its primary micro-techniques, through which exporters inflate invoices to repatriate surplus capital or under-declare exports to accumulate undeclared domestic receipts.⁴⁰ This is usually

³⁴ Dalga Khatinoglu. (2025, March 26). *Iran uses forged documents to sell sanctioned oil products to Asia*. Iranintl.com; Iran International. <https://www.iranintl.com/en/202503269123>

³⁵ Reuters. (n.d.). Iran oil graphics. <https://www.reuters.com/graphics/IRAN-OIL/zjpnqngedmvx/>

³⁶ Financial Action Task Force. (n.d.). Money laundering vulnerabilities of free trade zones (PDF). <https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/ML%20vulnerabilities%20of%20Free%20Trade%20Zones.pdf>

³⁷ fDi Intelligence. (2025, March 19). *Free zones alert: "Disruptions create huge risks for illicit trade."* <https://www.fdiintelligence.com/content/8b1aab34-6d68-4d07-af41-61cd52cf47b0>

³⁸ Trade-Based Money Laundering: Trends and Developments. (2020). Egmont Group. <https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/Trade-Based-Money-Laundering-Trends-and-Developments.pdf>

³⁹ World Customs Organization. (2018). Study report on illicit financial flows (PDF). https://www.wcoomd.org/-/media/wco/public/global/pdf/media/newsroom/reports/2018/wco-study-report-on-iffs_tm.pdf

⁴⁰ Reuters. (n.d.). Danske Bank's 200 billion euro money laundering scandal. <https://www.reuters.com/article/business/danske-banks-200-billion-euro-money-laundering-scandal-idUSKCN1NO1oD/>

done using related-party pricing, intermediary shell entities in tax-haven jurisdictions, and compensatory circular payments. In such contexts, the use of “Red flags” adds a layer of concern. They are essentially unit prices outside market interquartile ranges, including mirror-statistic anomalies, invoice revisions after shipment, and payment flows that do not reconcile to declared quantities or shipment dates.⁴¹

Correspondent-banking abuse exploits respondent banks’ nostro/vostro accounts (reciprocal inter-bank accounts used for cross-border clearing, where one bank holds another’s funds in foreign currency, thus obscuring originators through nested chains) and nested correspondent chains to gain USD/EUR clearing access while obscuring originators. Tactical indicators include stripped or altered narrative fields in SWIFT MT messages and U-turn or round-trip dollar flows. Another cautionary mark is throughput volumes that are disproportionate to a respondent bank’s commercial profile. Furthermore, chains of correspondents that sever originator-beneficiary linkage, a pattern repeatedly observed including documented in Baltic correspondent investigations and enforcement actions.⁴²

Trade-finance concealment often ultimately repurposes legitimate instruments, which include: Irrevocable letters of credit; back-to-back LCs; factoring, forfaiting; and export-credit guarantees. This is done to monetise fictitious

receivables or mask sanctioned end-users by embedding shell beneficiaries and spurious documentation. Operational clues are mismatches between bills of lading and vessel AIS tracks, multiple beneficiaries on a single LC line, accelerated drawdowns inconsistent with trade cycle norms, and insurers or guarantors that provide cover without verified cargo inspections, a modality flagged in OFAC and sectoral trade-finance advisories.^{43 44}

Complex layering fractures provenance by sequencing funds through favourable offshore jurisdictions or so-called “tax havens” like Cyprus, Delaware, BVI, Panama, as well as other corporate wrappers, nominee directors, rapid FX conversions, and circular remittances. This is done so that audit trails are diluted across jurisdictions. Telltale patterns include rapid multi-hop transfers that return value to related entities, commingled licit/illicit pools, nominee-held umbrellas, and synchronous movements timed to exploit reporting lags, as seen in multi-jurisdiction laundromat investigations and asset-forfeiture cases.⁴⁵

Some alternative(non-bank) remittance systems include Hawala/hundi networks, cash couriers, barter exchange, and virtual-asset channels. These act as ways to bypass formal rails, such as the property of hawala/hundi, cash couriers,

⁴¹ *Illicit Financial Flows via Trade Mis-invoicing*. (2018). World Customs Organisation.

https://www.wcoomd.org/-/media/wco/public/global/pdf/media/newsroom/reports/2018/wco-study-report-on-iffs_tm.pdf

⁴² Office of Foreign Assets Control. (n.d.). Iran sanctions—programs and country information.

<https://ofac.treasury.gov/sanctions-programs-and-country-information/iran-sanctions>

⁴³ Office of Foreign Assets Control. (n.d.). Iran sanctions resource (download).

<https://ofac.treasury.gov/media/934236/download?inline=>

⁴⁴ Organized Crime and Corruption Reporting Project. (n.d.). The Azerbaijani Laundromat.

<https://www.occrp.org/en/project/the-azerbaijani-laundromat>

⁴⁵ U.S. Department of Justice. (n.d.). Federal indictment alleges alliance between Sinaloa Cartel and money launderers linked... <https://www.justice.gov/archives/opa/pr/federal-indictment-alleges-alliance-between-sinaloa-cartel-and-money-launderers-linked>

barter exchange, and virtual asset channels such as cryptocurrency.⁴⁶

Finally, derivatives and structured products have also been frequently weaponised to disguise beneficial ownership or economic exposure. This is done via total-return means such as equity swaps, bespoke OTC options, and crystallisation clauses that fix termination payments to avoid post-freeze exposure. Operational red flags are asymmetric swap legs routed through Cayman SPVs, bespoke collateral schedules timed to skirt freezes, opaque valuation models that frustrate mark-to-market tracing and repeated re-margining among related counterparties, issues analysed in ISDA industry retrospectives and regulatory reviews.⁴⁷

Legal Mechanisms

Legal and administrative manoeuvres are a key component of the circumvention of sanctions, exploiting gaps and inconsistencies within and between regimes of sanctions. Firstly, jurisdictional arbitrage takes advantage of differences in national laws and their enforcement. This is done through actors channelled financial flows, trade, or asset holdings through countries with lax regulation or inadequate capacity to enforce international sanctions. Sanctioned entities, for example, have been known to set up subsidiaries in countries with minimal oversight, concealing ownership and evading international asset freezes. By selecting jurisdictions that are either unwilling or unable to enforce multilateral sanctions, criminals can continue to access financial markets and essential commodities.

Sanctions shopping is the practice of intentionally going to countries or institutions where sanctions regulations are less stringent or can be more easily bypassed. Corporations and individuals occasionally look for banks with lax compliance or countries that only partially enforce international sanctions. An oil producer, for example, can use a chain of foreign middlemen in lightly regulated jurisdictions to obtain services or financing that it cannot get elsewhere.

There are also procedural gaps in the way entities or individuals are designated or delisted from the sanctions lists, which can be exploited for further evasions. Sanctioned entities can exploit the ambiguity if the process is not clearly defined and periodically revisited. There have been cases of entities rapidly rebranding, changing ownership hierarchy and structures, or filing legal challenges to the designations of sanctions, taking advantage of slow or uneven delisting procedures to access global systems.⁴⁸

It must also be stated that International sanctions are often undermined by selective enforcement. Some countries, due to political sympathies or economic interests, may enforce sanctions selectively, thus providing a refuge for criminals. The incident is when dual-use technology, banned from export to sanctioned nations, is nevertheless shipped from countries refusing to enforce export control regulations. Fragmented enforcement reduces the overall effectiveness of sanctions, allowing banned goods or services to flow through the weakest points in the enforcement chain. Sanctions regimes usually also include humanitarian or

⁴⁶ Financial Action Task Force. (n.d.). The role of hawala and similar service providers in ML/TF (PDF). <https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/Role-of-hawala-and-similar-in-ml-tf.pdf>

⁴⁷ International Swaps and Derivatives Association. (2023). Economic sanctions programs: Derivatives retrospective analysis 2020–2023 (PDF). <https://www.isda.org/a/rihge/Economic-Sanctions-Programs-Derivatives-Retrospective-Analysis-2020-2023.pdf>

⁴⁸ *Disabling the enablers of sanctions circumvention*. (2025, September 24). Royal United Services Institute. <https://www.rusi.org/explore-our-research/publications/policy-briefs/disabling-enablers-sanctions-circumvention>

other exemptions to prevent excessive harm to civilians. These exceptions, however, can be exploited. Illicit groups may obtain certificates for so-called humanitarian shipments and divert products to illicit use. An example of the same would be reports alleging the DPRK of smuggling luxury goods, including expensive liquor and high-end electronics. This is often carried out by mislabeling them as food or medicine in shipping documents to bypass UN sanctions inspections.⁴⁹

Flag hopping, albeit more treated under maritime mechanisms, also has profound legal implications. By rapidly switching vessel registration between countries, the actors evade inspections for compliance and impede law enforcement. Ships can "jump" from rigorous states to weak flag states, regaining compliance requirements and eluding tracing by international authorities. This legal "reset" disrupts integrated maritime control.

Lastly, regulatory capture occurs when the enforcement agencies are dominated or influenced by the very industries or entities they are supposed to regulate. Corruption can exacerbate this, with bribes or political pressure causing officials to turn a blind eye to violations or offering illicit transactions a front. There have been high-profile cases of customs officials allowing sanctioned shipments to pass through, or financial supervisors ignoring suspicious transactions for their own personal benefit or because of external pressure.⁵⁰

MONITORING AND ENFORCEMENT GAPS

Deficits & Jurisdictional Implementation Discrepancies

Information-sharing deficits in global sanctions enforcement arise from entrenched fragmentation, whereby Financial Intelligence Units(FIU), customs administrations, and law enforcement persistently operate in distinct operational enclaves. These institutions tend to have divergent reporting thresholds, heterogeneous data formats, and limited interoperability, only to produce analytical discontinuities. These discontinuities routinely frustrate the construction of coherent, multi-jurisdictional typologies. Operational handbooks and practitioner reviews document persistent Customs–FIU cooperation shortfalls and consequent loss of actionable leads when trade, maritime, and financial indicators straddle institutional boundaries.⁵¹

Cross-border delays are an equally corrosive vector because MLA(Mutual Legal Assistance) requests and formal evidence-sharing channels are routinely protracted, often measured in many months. These vectors can thereby permit rapid asset dissipation, corporate reshuffling, and physical translocation of goods before restraint orders can be executed, a phenomenon corroborated in high-value asset-recovery casework where MLA bottlenecks convert

⁴⁹ Ryall, J., & Ryall, J. (2023, December 12). North Korea's attempts to smuggle luxury goods expose UN sanctions regime that may be open to abuse. *South China Morning Post*. <https://www.scmp.com/week-asia/politics/article/3244737/north-koreas-attempts-smuggle-luxury-goods-expose-un-sanctions-regime-may-be-open-abuse>

⁵⁰ (CARPENTER, n.d.) Preventing Regulatory Capture: Special Interest Influence and How to Limit It <https://tobinproject.org/sites/default/files/assets/Introduction%20from%20Preventing%20Regulatory%20Capture.pdf>

⁵¹ Egmont Group. (2013). Principles of Information Exchange between Financial Intelligence Units. https://egmontgroup.org/wp-content/uploads/2022/07/2.-Principles-Information-Exchange-With-Glossary_April2023.pdf

interdiction windows into post-hoc forensic tracing.

Opaque jurisdictions and secrecy havens further complicate the investigative task because nominee structures, restrictive registry access, and permissive trust laws enable layered corporate vehicles that sever audit trails and conceal ultimate beneficial owners, as exposed in major offshore leaks and forensic investigations that demonstrate how politically exposed persons and corrupt networks routed assets through multi-tiered intermediaries.⁵² FATF mutual evaluations and thematic outputs regularly flag insufficient cross-border coordination and information-sharing failures, and their recent analysis of complex proliferation-financing and sanctions-evasion techniques explicitly describes methods that exploit these lacunae to defeat targeted financial measures.⁵³

It may also be stated that decentralised implementation of UN measures compounds enforcement asymmetry because Security Council obligations require municipal transposition and national prosecutorial engagement, generating variegated penalty regimes and compliance thresholds. These often incentivise jurisdictional arbitrage and the relocation of vulnerable functions to more permissive legal spaces. Legal indeterminacy over the doctrinal thresholds of “control” and “ownership” materially enables sanctions shopping, a reality crystallised in English case-law where contrasting judicial readings of the ownership/control test have produced divergent outcomes for economically similar entities. This has thus afforded motivated parties

opportunities to restructure interests or litigate in jurisdictions likely to adopt narrower interpretations of “control”.

Lastly, maritime modalities are an additional concrete locus of evasion since flags of convenience, rapid reflagging, name-changes, ship-to-ship transfers, and AIS manipulation enable sanctioned cargoes to move within a shadow fleet whose nominal ownership is continually obfuscated.

In conclusion, the absence of universal, verified beneficial-ownership registries coupled with enduring secrecy jurisdictions permits the proliferation of shell companies and trusts that enable forum shopping by illicit actors and thereby convert what should be prompt, preventive multilateral interdiction into protracted international forensic work, with the cumulative effect that sanctions enforcement often becomes reactive, delayed and dependent on the slowest link in a fragmented global architecture.

Financial Intelligence & Asset Freezes

Guarantex, a Russia-based Crypto exchange U.S. Treasury’s Office of Foreign Assets Control (OFAC) in 2022 for facilitating transactions linked to ransomware groups and darknet marketplaces. Garantex was processing illicit transactions despite sanctions, showing enforcement blind spots.⁵⁴ Beneficial ownership opacity is deemed to be not merely a loophole but is also considered a systemic design flaw - operationalised through nominee directors, layered offshore shell cascades, and complex trust vehicles that deliberately dissociate legal title from economic

⁵² Beneficial ownership of Legal Persons March 2023 March 2023. (n.d.-a). <https://www.fatf-gafi.org/content/dam/fatf-gafi/guidance/Guidance-Beneficial-Ownership-Legal-Persons.pdf.coredownload.pdf>

⁵³ Guidance-beneficial-ownership-transparency-legal(n.d.-e). <https://www.fatf-gafi.org/content/dam/fatf-gafi/recommendations/Guidance-Beneficial-Ownership-Transparency-Legal-Arrangements.pdf.coredownload.inline.pdf>

⁵⁴U.S. Department of Justice. (n.d.). Garantex cryptocurrency exchange disrupted in international operation. <https://www.justice.gov/opa/pr/garantex-cryptocurrency-exchange-disrupted-international-operation>

control. That engineered opacity creates acute investigatory friction, protracts asset-freeze timelines, and converts evidentiary burdens into tactical advantages for evasive actors.⁵⁵

Asset freeze delays can stem from various reasons, including operational detection lags, judicial evidentiary thresholds, slow mutual legal assistance, and FIU coordination across jurisdictions. This permits near-instant crypto flight via wallet rotation and pre-positioned conversion rails. AML-CFT's purported weaknesses compound the problem in the form of inconsistent VASP onboarding standards, fragmented FIU information-sharing and weakened correspondent-banking oversight. This is done through virtual-asset typologies, chain-hopping across bridges, use of mixers and sanctioned-facing relays that sever analytic trails.

The Garantex disruption demonstrated these mechanics when law enforcement seized infrastructure, unsealed indictments, and identified vast transactional volumes processed since 2019 that implicated darknet markets and ransomware typologies, underscoring successor-platform and wallet-rotation techniques.⁵⁶ Various operational remedies that are feasible and targeted include changes made in the nature of beneficial-ownership registries as well as mandatory verification at VASP onboarding. These measures may further be complemented by expedited provisional freezes triggered by calibrated automated red flags; Enhanced cross-

border FIU taskforces; Targeted secondary sanctions against complicit intermediaries as well as the standardisation of AML red-flag typologies against privacy impacts, compliance burdens, and regulatory-arbitrage risks.⁵⁷

Resource and Political Limitations

Resource constraints and politics shape how well sanctions are actually monitored and enforced. For a lot of developing countries, the problem is often the beginning. Their governments are daily challenged to provide rudimentary services or to keep order within their borders.⁵⁸ It can sometimes be seen a little far-fetched to expect them to monitor international sanctions successfully, let alone to inspect every shipment and transaction. In spite of political will, it may be argued that a lack of trained personnel or access to technology can act as major roadblocks.⁵⁹

National priorities also play a big role. Sometimes, local predicaments are to be prioritised, and if a country is experiencing economic difficulties or threats to its internal security, the enforcement of international sanctions may receive less immediate action, particularly if the issue seems less relevant in everyday life. Lastly, one major obstacle faced is political will. Occasionally, Member States are reluctant or refuse to back sanctions monitoring if it runs counter to their interests or alliances. Such selective enforcement weakens the global

⁵⁵ FATF. (n.d.). Guidance on beneficial ownership of legal persons. <https://www.fatf-gafi.org/en/publications/Fatfrecommendations/Guidance-Beneficial-Ownership-Legal-Persons.pdf>

⁵⁶ U.S. Secret Service. (2025, March). Seizure of Russian cryptocurrency exchange websites. <https://www.secretservice.gov/newsroom/releases/2025/03/us-secret-service-seizes-russian-cryptocurrency-exchange-websites>

⁵⁷ Reuters. (2022, August 11). How crypto mixer Tornado Cash is used to launder money. <https://www.reuters.com/technology/how-crypto-mixer-tornado-cash-is-used-by-hackers-launder-money-2022-08-11/>

⁵⁸ Drezner, D. (1999). *The Sanctions Paradox: Economic Statecraft and International Relations*. Cambridge University Press. <https://assets.cambridge.org/97805216/43320/sample/9780521643320wsc00.pdf>

⁵⁹ Reports of the Panels of Experts established pursuant to Security Council resolution 1718. Security Council Committee established pursuant to resolution 1718 (2006). (n.d.). https://main.un.org/securitycouncil/en/sanctions/1718/panel_experts/reports

regime and sends a signal that some violations are more tolerable than others.⁶⁰

PAST INTERNATIONAL ACTIONS

Key UNSC Resolutions

Resolution 232 (1966)

The resolution imposed the first-ever UN sanction against a state following Southern Rhodesia's unilateral declaration of independence, banning oil, arms, and key commodities.⁶¹

Resolution 418 (1977)

The resolution imposed a mandatory arms embargo on apartheid South Africa, prohibiting all states from supplying weapons or military equipment, in response to the regime's racial oppression and violence.

Resolution 661 (1990)

The resolution imposed economic sanctions on Iraq after it invaded Kuwait, applying strict trade embargoes banning almost all trade, financial transactions, and import–export. It rightfully exempted humanitarian aid.

Resolution 748 (1992)

The resolution imposed sanctions on Libya over the Lockerbie bombing, banning arms sales, suspending air links, restricting diplomatic staff, and freezing certain financial transactions until Libya cooperated with all investigations.

Resolution 820 (1993)

The resolution tightened sanctions on Yugoslavia, including an oil embargo, trade restrictions, and a ban on flights, aiming to pressure Serbian forces to halt their aggression during the Bosnian conflict.

Resolution 1173 (1998)

It imposed sanctions on Angola's UNITA rebels, banning unauthorised diamond sales, restricting petroleum and arms supplies, freezing financial assets, and requiring states to block support fuelling the Angolan Civil War

Resolution 1267 (1999)

The resolution imposed sanctions against the Taliban for harbouring Osama Bin Laden, including an asset freeze, travel bans, and an arms embargo. It created the "1267 Sanctions Committee" to oversee the sanctions enforcement.

Resolution 1343 (2001)

The resolution sanctioned Liberia, imposing arms and diamond embargoes, restricting high-level travel, and demanding that Charles Taylor's government end support for Sierra Leone's RUF rebels.

Resolution 1373 (2001)

The resolution, imposed after 9/11, required states to criminalise terrorism financing, freeze terrorism assets, strengthen border controls, share intelligence, and deny a haven to militant

⁶⁰ Security Council fails to extend mandate for expert panel assisting Sanctions Committee on Democratic People's Republic of Korea | Meetings coverage and press releases. (2024, March 28). <https://press.un.org/en/2024/sc15648.doc.htm>

⁶¹ Resolutions | Security Council. (n.d.). <https://main.un.org/securitycouncil/en/content/resolutions-o>

groups. It also established a Counter Terrorism Committee for oversight.

Resolution 1540 (2004)

This resolution obliges all states to prevent non-state actors from acquiring nuclear, chemical, or biological weapons, enforce domestic controls, adopt legislation, and cooperate internationally to strengthen proliferation and security.

Resolution 1612 (2005)

This resolution established monitoring and reporting mechanisms on child soldiers, created a working group on children in armed conflict, and allowed targeted measures against persistent violators recruiting minors.

Resolution 1718 (2006)

This resolution imposed sanctions on North Korea after its first nuclear tests. It banned arms trade, novelties, and WMD materials. It also created a sanctions committee to monitor enforcement.

Resolution 1737 (2006)

This resolution imposed sanctions on Iran for refusing to suspend uranium enrichment. It froze the assets of entities linked to nuclear programs, restricting nuclear trade. It also created a sanctions committee to monitor enforcement.

Resolution 1929 (2010)

The resolution further tightened sanctions on Iran over its nuclear programs, expanding arms embargoes, restricting financial and shipping activities, targeting Revolutionary entities, and urging states to inspect suspicious cargo.

Resolution 1970 (2011)

The resolution imposed arms embargoes, asset freezes, and travel bans on Gaddafi's regime in Libya, referred human rights abuses to the

International Criminal Court, and demanded an immediate end to violence.

Resolution 2036 (2013)

The resolution imposed a ban on Somali charcoal exports, depriving Al-Shabaab of key financing, while urging member states to enforce the embargo and prevent illicit trade funding conflict.

Resolution 2231 (2015)

The resolution endorsed the Iran nuclear deal (JCPOA), lifting nuclear-related sanctions in exchange for compliance, while establishing monitoring mechanisms, a snapback provision for sanctions, and restrictions on arms and missiles.

Resolution 2375 (2017)

The resolution imposed tougher sanctions on North Korea after its sixth nuclear test, restricting oil imports, banning textile exports, limiting overseas labour, and strengthening inspections to pressure Pyongyang diplomatically.

Resolution 2664 (2022)

The resolution created a humanitarian exemption to UN sanction regimes: asset freezes cannot block funds, goods, or services necessary for delivering humanitarian aid. It monitors implementations and urges compliance without harming the civilian populace.

Resolution 2744 (2024)

The resolution enhances delisting procedures: strengthens the Focal Point mechanism beyond its earlier "mailbox" role, mandates new guidelines, establishes an informal working group, improves transparency and due process in sanction listing decisions.

EVOLUTION OF SANCTIONS ARCHITECTURE

The first UN sanctions in the 1960s – directed against Southern Rhodesia and later apartheid South Africa – were designed as broad trade embargoes. Implementation was delegated entirely to individual states, resulting in varying levels of compliance. During this period, smuggling networks expanded, and there was an absence of able network systems to investigate or address violations. Consequently, while these sanctions are broad in scope, they lacked frameworks for institutional design, highlighting the necessity for more structured enforcement mechanisms.⁶²

The end of the Cold War opened the door for the Security Council to use sanctions far more frequently: Iraq in 1990, the Balkans, and Haiti all saw comprehensive embargoes. These cases revealed a highly controversial implication: that while such sanctions hurt governments economically, they often inflicted disproportionate suffering on ordinary people.

The humanitarian crises in Iraq, in particular, became a turning point. It highlighted that without a stronger institutional framework, sanctions risked undermining the very principles of the UN. In response, the Council began forming Sanctions Committees to oversee specific regimes, coordinate exemptions, and monitor compliance. This was the first real step toward an organised sanctions architecture.⁶³ By the mid-1990s, the Council shifted to what came

to be known as smart sanctions. Instead of blanket trade bans, these sanctions focused on freezing assets, imposing travel bans, or restricting arms transfers. Such tools required far more precision and administrative oversight. The architecture had to adapt: designation lists needed updating, states had to be notified of their obligations, and exemptions had to be managed. While imperfect, these innovations demonstrated an effort to design sanctions that were more humane and more politically effective.⁶⁴

The next stage of evolution came with the establishment of expert panels and monitoring groups in the late 1990s and early 2000s. Their role was to track illicit financing, investigate violations, and report back to the UNSC. This added an evidence-based dimension to enforcement and helped close loopholes. Over time, the UN also began working with other actors – INTERPOL for travel bans, the Financial Action Task Force (FATF) for financial measures, and even private banks and shipping firms.

As sanctions began targeting individuals, new problems emerged. Being placed on a blacklist could mean losing access to funds or mobility without any chance to appeal. Court challenges in Europe and elsewhere pushed the UN to reconsider. In 2009, the creation of the Ombudsperson for the Al-Qaeda/ISIS sanctions regime introduced a mechanism for individuals to contest their listing. This marked a significant shift in sanction architecture, which was not only

⁶² Time Inc. (1966, December 23). *United Nations: Sanctions against Rhodesia*. Time.

<https://time.com/archive/6634854/united-nations-sanctions-against-rhodesia/>

⁶³ The Evolution of Security Council Innovations in sanctions. (n.d.-h). <https://www.securitycouncilreport.org/atf/cf/%7B65BFCF9B-6D27-4E9C-8CD3-CF6E4FF96FF9%7D/Evolution%20of%20Sanctions%20-%20Int.%20Journal.pdf>

⁶⁴ Biersteker, T., Brubaker, R., & van den Herik, L. (2021, March). Enhancing Due Process in UN Security Council Targeted Sanctions Regimes. [https://www.graduateinstitute.ch/sites/internet/files/2021-09/report_enhancing_due_process_March2021_FINAL%20\(1\).pdf](https://www.graduateinstitute.ch/sites/internet/files/2021-09/report_enhancing_due_process_March2021_FINAL%20(1).pdf)

about enforcement but also about ensuring fairness and legitimacy.⁶⁵

UNSC CONSOLIDATED LIST OF SANCTION COMMITTEES

The UNSC Consolidated List is the core reference tool aggregating designated individuals and entities across all sanctions regimes. Fourteen active Sanctions Committees oversee implementation, exemptions, and reporting, notably including the 1267 (ISIL/Al-Qaida), 1718 (Democratic People's Republic of Korea), and 2231 (Iran/JCPOA) Committees.⁶⁶ Listing and delisting follow prescribed committee procedures, and, for the ISIL/Al-Qaida regime, an independent Ombudsperson established by Resolution 1904 (2009) processes petitions and recommends delistings for committee adoption or rejection.⁶⁷

Asset freezes, travel bans, and arms embargoes are applied under binding Chapter VII mandates and administered through formal exemption mechanisms, including basic and extraordinary expense waivers and expedited humanitarian clearances. Panels of Experts supply evidentiary referrals exemplified by the Democratic People's Republic of Korea Panel report S/2023/171 on ship-to-ship transfers and sanctions circumvention, which have prompted targeted interdictions and committee amendments. They apply committee acknowledgement windows and Secretariat-facilitated notifications; demand state implementation reports; coordinate with

FATF standards on financial controls; permit targeted vessel blacklisting and front-company designations, as well as reflect judicial review precedents in due-process adaptations.⁶⁸

Committees often employ UN Secretariat notification protocols, maintain focal points for delisting correspondence, require evidentiary matrices and chain-of-custody documentation for asset releases, authorise post-delisting monitoring arrangements to mitigate recurrence of designated conduct, and sustain operational oversight thereafter routinely.⁶⁹

PANELS OF EXPERTS AND MONITORING MECHANISMS

The Security Council's Panels of Experts tend to be a group of independent experts tasked with investigating the violation & circumvention of sanctions, as well as supporting specific sanctions committees. They are monitoring teams that execute a forensic, evidence-centric mandate: to detect, document, and attribute sanctions circumvention. They also amalgamate various modalities such as on-site cargo inspections, port sampling, verification of shipping,; billing & corporate records - with open-source and classified intelligence. Ultimately, this is reflected in the form of admissible reports and

⁶⁵ Weschler, J. (2009). Evolution of Sanctions - Int. Journal. <https://www.securitycouncilreport.org/atf/cf/%7B65BFCF9B-6D27-4E9C-8CD3-CF6E4FF96FF9%7D/Evolution%20of%20Sanctions%20-%20Int.%20Journal.pdf>

⁶⁶ United Nations Security Council. (n.d.). UN SC Consolidated List. <https://main.un.org/securitycouncil/en/content/un-sc-consolidated-list>

⁶⁷ United Nations Security Council. (2009). S/RES/1904(2009). <https://main.un.org/securitycouncil/en/s/res/1904-%282009%29>

⁶⁸ United Nations. (2023). S/2023/171. <https://undocs.org/S/2023/171>

⁶⁹ United Nations Security Council. (n.d.). Sanctions and other committees—Repertoire. <https://main.un.org/securitycouncil/en/content/repertoire/sanctions-and-other-committees>

documents for Sanctions Committees as well as Member States.^{70 71}

Operationally, the experts catalogue and analyse various verticals of sanctions circumvention, including ship-to-ship transfers conducted by feeder fleets; deliberate AIS manipulation or spoofing; clandestine coal & petroleum smuggling; and front-company commercial layering & deceptive invoicing. Additionally, these may include the abuse of humanitarian or technical exemptions; falsified cargo manifests; deliberate flagging & beneficial-ownership obfuscation, as well as maritime-to-land transshipment chains.

For example, the Democratic People's Republic of Korea Panel of Experts (2009–2024) had recurrently documented clandestine STS transfers, AIS tampering, and coal/oil smuggling in successive reports such as S/2019/691 and S/2020/151.^{72 73} Moreover, in 2015 and 2016, the 2231 Iran Monitoring Team conducted pre- and post-JCPOA oversight of prohibited procurements and documented evasive procurement and finance channels.⁷⁴

Regional panels for Libya, Somalia, Sudan, and Yemen have, in the past, forensically traced arms

consignments, illicit petroleum commerce, hawala, and shell-company conduits that monetise conflict. The 1267 Analytical Support and Sanctions Monitoring Team maps terrorist financing and evasion networks, including crypto and trade-based laundering.⁷⁵

The Panel of Experts routinely substantiate allegations with chain-of-custody photographs, AIS and satellite time-series, port call reconciliations, and bank payment trails.⁷⁶ This granularity converts open intelligence into actionable sanctions listings and interdiction requests to flag states and port authorities, and targeted asset freezes worldwide promptly. The utilisation of granular, end-to-end electronic commodity manifests and certified chain-of-custody tracking enhances monitoring and oversight for high-risk goods. Expanding multilateral financial intelligence sharing, coupled with targeted inter-agency forensic audits of high-risk entities, can further augment the oversight abilities.^{77 78}

The duties of the UN Panel of Experts are carried out under a mandate that the UNSC periodically renews. This causes their duties to be structurally fragile to operate. The requirement for ongoing approval by the UNSC members may cause

⁷⁰ United Nations Security Council. (n.d.). 1718 Panel of Experts reports.

https://www.un.org/securitycouncil/sanctions/1718/panel_experts/reports

⁷¹ United Nations Digital Library. (2023). S/2023/673. https://digitallibrary.un.org/record/4022306/files/S_2023_673-EN.pdf?ln=ar

⁷² Security Council Report. (2020). S/2020/151 (PDF). https://www.securitycouncilreport.org/atf/cf/%7B65BFCF9B-6D27-4E9C-8CD3-CF6E4FF96FF9%7D/S_2020_151.pdf

⁷³ Security Council Report. (2019). S/2019/691 (PDF). https://www.securitycouncilreport.org/atf/cf/%7B65BFCF9B-6D27-4E9C-8CD3-CF6E4FF96FF9%7D/S_2019_691.pdf

⁷⁴ Reuters. (2024, October 16). U.S., South Korea, Japan unveil new team to monitor North Korea sanctions. <https://www.reuters.com/world/us-south-korea-japan-unveil-new-team-monitor-north-korea-sanctions-2024-10-16/>

⁷⁵ United Nations Security Council. (n.d.). 1267 monitoring team—Reports. <https://www.un.org/securitycouncil/sanctions/1267/monitoring-team/reports>

⁷⁶ Reuters. (2024, November 22). Satellite imagery indicates North Korea oil imports from Russia top UN limits. <https://www.reuters.com/business/energy/satellite-imagery-indicates-north-korea-oil-imports-russia-top-un-limits-report-2024-11-22/>

⁷⁷ Financial Times. (n.d.). Article on sanctions monitoring. <https://www.ft.com/content/aabcfb72-a606-498d-a35d-c6e667cd19f3>

⁷⁸ United Nations Security Council. (n.d.). Subsidiary organs. <https://www.un.org/securitycouncil/subsidiaryorgans>

discontinuities in operation if a consensus is not reached by the members. This arrangement affects the functionality of the Panel.⁷⁹

The Panel of Experts may not have direct enforcement powers with its role largely relegated to collecting violations, documenting possible circumventions, and submitting reports of proven circumventions. It is the UNSC's approval that determines whether the suggestions by the Experts are to be carried out.

⁸⁰For instance, in 2024, the UNSC failed to renew Panel mandates for monitoring of sanctions, resulting in a direct abandonment of investigations affecting at least three country-specific sanction regimes.⁸¹

FINANCIAL ACTION TASK FORCE (FATF) STANDARDS AND GUIDANCE

Established in 1989, the FATF constitutes the pre-eminent intergovernmental standard-setting organisation, architecting robust AML-CFT and proliferation-financing norms that buttress UNSC sanctions through stringent compliance architectures and peer-reviewed enforcement. For instance, FATF Recommendation 6 requires jurisdictions to transpose UN Security Council targeted financial sanctions into domestic law; mandates prompt freezing and blocking of designated assets, systemic sanctions-screening at onboarding and transaction stages, and supervisory coherence across banking, correspondent relationships, and

DNFBPs (Designated Non-Financial Businesses and Professions).

Furthermore, Recommendation 7 obliges states to prevent proliferation financing by embedding enhanced customer due diligence, risk-based transaction monitoring, mandatory suspicious activity reporting, and interdiction powers into AML-CFT frameworks to disrupt WMD procurement chains.⁸²

FATF Proliferation Financing guidance (2018–2022) articulates concrete evasion typologies exploited by determined networks, notably layered nominee and shell company constructs with nominee directors and nominee accounts to conceal beneficial ownership.⁸³ Trade-based money-laundering methods such as mis-invoicing, phantom shipments, mirror trades, and commodity over-/under-invoicing are flagged as primary vectors for covert value transfer in procurement schemes. Maritime tactics, including ship-to-ship transfers, cargo re-documentation, vessel reflagging, and use of front shipping firms, enable sanctioned states to mask energy and bulk-commodity flows.⁸⁴

FATF mutual evaluations and consolidated assessments have repeatedly exposed implementation lacunae, insufficient trade-finance controls, weak correspondent due diligence, under-resourced FIUs and unregulated VASPs that proliferators exploit through permissive jurisdictions and interposed

⁷⁹ (Boucher, 2010) UN PANELS OF EXPERTS AND UN PEACE OPERATIONS: EXPLOITING SYNERGIES FOR PEACEBUILDING https://www.files.ethz.ch/isn/121511/2010-09_UN-Panel.pdf

⁸⁰ Brar, A. S. (2024, April 30). *Navigating controversies: The UN panel(s) of experts*. orfonline.org. <https://www.orfonline.org/expert-speak/navigating-controversies-the-un-panel-s-of-experts>

⁸¹ Groups and panels | security council. (n.d.-a). <https://main.un.org/securitycouncil/en/content/repertoire/groups-and-panels>

⁸² Financial Action Task Force. (2012). FATF Recommendations (PDF). <https://www.fatf-gafi.org/content/dam/fatf-gafi/recommendations/FATF%20Recommendations%202012.pdf>

⁸³ Financial Action Task Force. (n.d.). Guidance on counter-proliferation financing. <https://www.fatf-gafi.org/en/publications/Financingofproliferation/Guidance-counter-proliferation-financing.html>

⁸⁴ Financial Action Task Force. (2021). Risk-based approach—Virtual assets (Guidance). <https://www.fatf-gafi.org/en/publications/Fatfrecommendations/Guidance-rba-virtual-assets-2021.html>

intermediaries.⁸⁵ Concrete enforcement and investigative exemplars demonstrate operational pathways: national designations and prosecutions against procurement conduits; UN Panel reports documenting Democratic People's Republic of Korea ship-to-ship oil and coal evasion; and actions targeting front companies that facilitated illicit procurement.⁸⁶

The operational toolkit derived from FATF standards comprises automated trade-monitoring and red-flag indicators, mandatory beneficial-ownership verification at incorporation and account opening, blockchain analytics for tracing cross-chain flows, enhanced supervision of OTC and exchange activity, and statutory mechanisms for rapid cross-border information exchange.^{87 88}

These elements imply a pragmatic composition of FATF typologies and red-flag indicators into sanctions committee technical guidance. They may also warrant the prioritisation of supervision resources toward non-bank financial institutions, trade-finance windows, and VASPs. In addition to that the institutionalisation of regular typology dissemination alongside mutual-evaluation follow-ups could help close the implementation gap.⁸⁹

Operational case studies such as the designation of procurement front companies and national prosecutions illustrate how coordinated financial measures, maritime interdiction, and customs-

FIU intelligence fusion can dismantle procurement and laundering webs. Sustained political will and technical assistance remain prerequisites for measurable outcomes.⁹⁰

REGIONAL AND NATIONAL ENFORCEMENT ACTIONS

OFAC / U.S. Treasury (2019–2025)

The Office of Foreign Assets Control (OFAC) of the U.S. Treasury Department is the agency responsible for the enforcement of the economic and trade sanctions imposed by the United States on external entities. Past programs administered by OFAC include Cuba, Russia, Syria, Iran, and the DPRK. More specific designations include the enforcement of sanctions against the subsidiaries of China COSCO Shipping Corporation in early 2019. This was done in response to its transshipment of Iranian oil, allegedly using AIS dropouts during STS operations and forged bills of lading.⁹¹

Another example includes the designation of the “Ocean Maritime Mgmt Co.” in January 2020, purportedly flagged by AIS spoofing (periodic blackouts) and deceptive hull renumbering. Such enforcement trends highlight the increasing sophistication of sanctions implementation and

⁸⁵ Financial Action Task Force. (n.d.). Mutual evaluations. <https://www.fatf-gafi.org/en/publications/Mutualevaluations.html>

⁸⁶ United Nations. (2006). S/RES/1718(2006). [https://undocs.org/S/RES/1718\(2006\)\[1](https://undocs.org/S/RES/1718(2006)[1)

⁸⁷ United Nations. (2015). S/RES/2231(2015). [https://undocs.org/S/RES/2231\(2015\)\[1](https://undocs.org/S/RES/2231(2015)[1)

⁸⁸ U.S. Department of the Treasury. (n.d.). Press release JL5059. <https://home.treasury.gov/news/press-releases/jl5059>

⁸⁹ United Nations Security Council. (n.d.). 1718 Panel of Experts reports. https://www.un.org/securitycouncil/sanctions/1718/panel_experts/reports

⁹⁰ Financial Action Task Force. (n.d.). FATF report highlights gaps in global response to proliferation financing and sanctions evasion. <https://www.fatf-gafi.org/en/publications/fatfactionplan/FATF-report-highlights-major-gaps-in-global-response-to-proliferation-financing-and-sanctions-evasion.html>

⁹¹ Office of Foreign Assets Control (OFAC): Definition, Sanctions. (n.d.). Investopedia. <https://www.investopedia.com/terms/o/ofac.asp>

cross-domain enforcement awareness.⁹² OFAC's multi-faceted directives, while solely American in their remit, have spurred multilateral alignment with parallel regimes in the European Union, the United Kingdom, and Japan.⁹³

European Union (EU)

In the case of the European Union, for example, the Blocking Statute (Reg 2271/96, 1996. Updated 2018/EU/1100) prohibits compliance with extraterritorial sanctions.

EU autonomous sanctions often mirror/extend UNSC lists (e.g. Council Reg 2020/250 on Syrian oil smuggling, 2022/1061 on Democratic People's Republic of Korea arms trade, 2023/355 on Iranian UAV exports).⁹⁴ These often entail the freezing of EU assets as well as barring transactions and travel by listed persons. This often contrasts with OFAC's global blocking regime and secondary sanctions on non-U.S. facilitators.⁹⁵

Enforcement is by member-state competent authorities focusing on EU persons, which lacks OFAC's extraterritorial reach.⁹⁶ EU designations also frequently tend to be coupled with travel bans under the Common Foreign and Security Policy (EU).

Regional bodies

Multiple regional bodies also play an important role in streamlining sanctions implementation, many of which have in recent times seen an increased role and influence.

Some sanctions enforced by the African Union include the embargoes enacted on Mali (2012) and CAR (2013) with ECOWAS/SADC support. Both of these were aimed at deterring unconstitutional changes of government and curbing arms inflows. However, enforcement remains constrained by porous borders, limited customs surveillance and capacity deficits in regional monitoring networks.⁹⁷

Coming to ASEAN (Association of South East Asian Countries), it should be noted that it lacks a bloc sanctions mechanism, and it mainly plays a part in enforcing UNSC resolutions via national mechanisms and maritime patrols. It is also argued by academics that ASEAN's informal and consensus-based regionalism affords it significant discretion in responding to member state norm violations. This often results in reflective and inconsistent interventions.⁹⁸

Another regional entity that has imposed sanctions in the past is the Arab League. The most notable instance of the same would be the imposition of sanctions and arms embargoes on

⁹² U.S. Attorney's Office, SDNY. (n.d.). U.S. government seizes oil tanker used to violate sanctions against North Korea. <https://www.justice.gov/usao-sdny/pr/us-government-seizes-oil-tanker-used-violate-us-and-un-sanctions-against-north-korea>

⁹³ U.S. Attorney's Office, SDNY. (n.d.). Forfeiture of North Korean cargo vessel. <https://www.justice.gov/usao-sdny/pr/manhattan-us-attorney-announces-forfeiture-north-korean-cargo-vessel>

⁹⁴ North Korean Review. (2019, May 30). Seizure of the North Korean vessel "Wise Honest." <https://www.northkoreanreview.net/single-post/2019/05/30/seizure-of-the-north-korean-vessel-the-wise-honest-by-the-us-department-of-justice>

⁹⁵ The Guardian. (2019, September 7). Iranian tanker seized by Gibraltar photographed off Syria. <https://www.theguardian.com/world/2019/sep/07/iranian-tanker-seized-by-gibraltar-photographed-off-syria>

⁹⁶ The Guardian. (2019, July 4). Royal Marines seize tanker en route to Syria over EU sanctions. <https://www.theguardian.com/world/2019/jul/04/royal-marines-gibraltar-tanker-oil-syria-eu-sanctions>

⁹⁷ Tomohiro Hosoi. (2025). *Patterns of African Union Sanctions on Coups d'État: Civilian Control as a Political Message*. <https://doi.org/10.2139/ssrn.5317479>

⁹⁸ Schembera, K. (2021). Understanding ASEAN's approach to sanctions against norm breakers. *International Political Science Review*. <https://journals.sagepub.com/doi/10.1177/0192512120972583>

the Syrian government in November 2011. This was done in response to the allegations of a violent crackdown on protests by the regime led by former President Assad.⁹⁹

National enforcement actions

Notable interdictions include- Gibraltar's 4 July 2019 detainment of Iranian tanker "Grace 1"; Singapore's May 2019 seizure of Democratic People's Republic of Korea coal-laden M/V "Wise Honest"; and Japan's 14 August 2022 halt of oil tanker "IRIS Niko".

Another notable asset freeze was India (3 October 2021), freezing Kaixian Marine Servicing (owner of M/T Dahe Hua) after AIS/IMO discrepancies and suspicious wire transfers.^{100 101}

Trigger Mechanisms

FIUs and cross-border task forces (Egmont Network) fuse trade data anomalies (mirror shipments, falsified manifests), AIS/IMO mismatches and SWIFT/transaction patterns to build probable cause.¹⁰²

Repeated AIS blackouts, container MRN conflicts and dummy bill irregularities serve as interdiction/designation triggers.¹⁰³

CASE STUDIES

Sanctions Committees on Al Qaeda and Taliban

In 1999, the UNSC passed a seminal resolution targeted towards the Taliban for sheltering

individuals associated with Al Qaeda. This entailed the freezing of assets, restriction of travel, and prevention of supply of arms to the concerned entities. What makes this resolution rather atypical is that it was not in response to a state-driven conflict but rather aimed at addressing a threat that was diffuse and borderless in nature.

Moreover, the embargoes levied were notably directed towards individuals and groups with deep roots in local economies and informal systems as opposed to being broad-brush in nature. Over time, due to an increase in perceived threat posed by entities like the Taliban and Al Qaeda, this sanctions regime was further expanded and ultimately in 2011 split into 2 different sanctions committees for each of the two respective entities.¹⁰⁴

Afghanistan acted as the focal point of the scourge of terrorism experienced during this period, as it was the soil from which these networks drew their sustenance. In Kandahar, for instance, the Taliban provided cover for recruitment camps that operated with little fear of outside disruption. As a result, the funds raised in the Gulf could be transferred by couriers, invested in local trade, and disbursed to fighters within weeks.

The regional picture was more complicated. Pakistan, sharing a porous 2,600-kilometre border with Afghanistan, became a crucial player. Officially, Islamabad cooperated with international efforts by detaining some listed

⁹⁹ Syria unrest: Arab League adopts sanctions in Cairo. (2011, November 26). *BBC News*.

<https://www.bbc.com/news/world-middle-east-15901360>

¹⁰⁰ Windward. (n.d.). OFAC's strategy evolved over the past 5 years—Has yours? <https://windward.ai/knowledge-base/ofacs-strategy-evolved-over-the-past-5-years-has-yours/>

¹⁰¹ EUR-Lex. (1996). Council Regulation (EC) No 2271/96. <https://eur-lex.europa.eu/eli/reg/1996/2271/oj/eng>

¹⁰² EUthe R-Lex. (2018, August 7). Council Regulation (EC) No 2271/96—2018 update. <https://eur-lex.europa.eu/eli/reg/1996/2271/2018-08-07/eng>

¹⁰³ Office of Foreign Assets Control. (n.d.). Advisory (PDF). <https://ofac.treasury.gov/media/933506/download/>

¹⁰⁴ Security Council Committee pursuant to Resolutions 1267 (1999) 1989 (2011) and 2253 (2015) concerning Islamic State in Iraq and the Levant (da'esh), al-Qaida and associated individuals, groups, undertakings and entities | security council. (n.d.-c). <https://main.un.org/securitycouncil/en/sanctions/1267>

individuals and freezing accounts. However, some reports suggested that at times, complex dynamics within political and tribal structures may have impeded the implementation of certain measures. Intelligence reports in the mid-2000s frequently alleged certain local authorities of a “double game” characterised by the arresting of militants in one province while others moved freely across another checkpoint with tacit local approval.¹⁰⁵

The Main Causes of Circumvention

Multiple factors led to the rampant circumvention of sanction regimes. In rural Afghanistan, these included the prevalence of cash couriers that in most instances evaded formal inspections. The hawala system, which has been described before, enabled cross-border transactions beyond the reach of local regulators.

Moreover, the UN consolidated list did not always keep up with shifting aliases. This would usually entail the resurfacing of blacklisted individuals with different names in commercial contracts.¹⁰⁶ Lastly, both Al-Qaeda and the Taliban showed a remarkable ability to fragment, rebrand, and reconstitute.¹⁰⁷

Moreover, the fact remained such that the onus of implementing the respective sanctions usually fell upon the concerned national authorities. While the member states were encouraged to introduce more legislation, with a purported intent of “criminalising the financing of terrorism and associated money laundering”, this led to

these sanctions being easier to enforce and more obligatory in nature. Member states were encouraged to introduce domestic legalisation “criminalising the financing of terrorism and associated money laundering”, as well as drafting new rules for aviation authorities and adding individuals on the Consolidated List to their national “no fly” list.

The Ombudsperson

The Ombudsperson was established in 2009 in an effort to address concerns regarding due process in sanction listing procedures. Before, individuals had no avenue to contest their listing. With Resolution 1904, petitioners could present their case, and the Ombudsperson would gather information from member states, evaluate evidence, and recommend whether delisting was warranted. In practice, this has had real consequences: some people wrongly listed in the early 2000s were eventually removed after the Ombudsperson concluded there was insufficient evidence. Still, because the Committee retains final discretion, questions about independence remain.¹⁰⁸

Mechanisms of the circumvention

The circumvention by the Taliban and Al Qaeda is often regarded to be quite ingenious. Some methods that highlight this point include traditional means of sanctions circumvention like cash transfers (as have been discussed previously). According to a Joint Report of the Counter-Terrorism Committee Executive

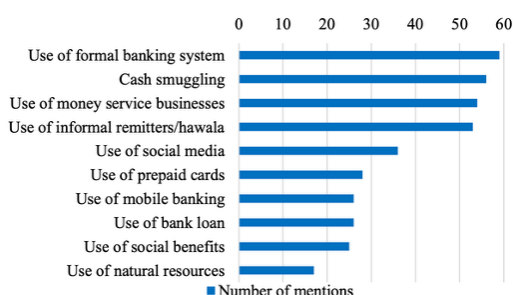
¹⁰⁵ Felbab-Brown, V., Signé, L., & Gordon, P. H. (2024b, August 20). *Pakistan, Taliban, and the Afghan conflict*. Brookings. <https://www.brookings.edu/articles/pakistan-taliban-and-the-afghan-quagmire/#:~:text=Without%20it%2C%20the%20Taliban%20would,under%20cover%20with%20Taliban%20forces.>

¹⁰⁶ *Cn,,o-flyountry Reports on terrorism 2019 - United States Department of State*. United States Department of State. <https://www.state.gov/reports/country-reports-on-terrorism-2019>

¹⁰⁷ Azami, B. D. (2021, August 27). *Afghanistan: How do the Taliban make money?* <https://www.bbc.com/news/world-46554097>

¹⁰⁸ *1267 Committee and the Office of the Ombudsperson*. (n.d.). <https://archive.globalpolicy.org/security-council/index-of-countries-on-the-security-council-agenda/sanctions/1267-committee-and-the-office-of-the-ombudsperson.html>

Directorate and the Analytical Support and Sanctions Monitoring Team of the UNSC, consultation with various concerned states revealed that cash couriers were the most prominently used means for circumventing sanctions regimes and to facilitate terror financing. More specifically, the Hawala and cash logistics system has most infamously been used as an avenue of cash transfers in areas such as Afghanistan.



Methods most frequently used by terrorist financiers
Source: United Nations Counter-Terrorism Committee

Furthermore, there have also been multiple accounts of the misuse of technology including social media, prepaid cards and mobile banking for breaching sanctions regimes and sequestering terror funding. In similar contexts, there have also been reports of usage of shell companies for the concealment of cash and the use of non-profit organizations (NGOs) in terror financing.¹⁰⁹ Another major bottleneck is the continued access to bank accounts by foreign terrorist fighters, in the form of foreign cash withdrawals from ATMs. These, often made in

areas which were ISIL strongholds, often were operated by unknown individuals.¹¹⁰

Alongside the banking sector, another avenue used to move illicit funds was the remittance sector. In countries where access to banking services is limited, remittance providers can act as the primary institutions through which cross-border transfer of funds can take place. When unregulated, and not subject to AML/CFT supervision, remittance providers can act as vehicles of illicit terror financing and sanctions circumvention.¹¹¹

Detection of the Circumvention

The UN Panel of Experts played a crucial role over a long period, compiling annual reports that exposed cracks. In one report, investigators traced how timber exports in a neighbouring country generated revenues for Taliban-linked actors despite the embargo. The findings pushed states to tighten customs oversight.¹¹²

At the national level, investigations are more uneven. Some financial intelligence units have traced suspicious transfers and shared the data with the Committee, while others lack the necessary capacity or political cover. Delisting reviews before the Ombudsperson, too, have occasionally revealed procedural errors. For example, a petitioner showed that a bank account frozen in his name had already been closed years earlier, exposing how slowly some states update information.¹¹³

¹⁰⁹ United Nations. (2020, June 3). *Letter from the Chair of the Security Council Committee*. United Nations. <https://docs.un.org/en/S/2020/493>

¹¹⁰ Financing-of-the-terrorist-organisation-ISIL. (2015). <https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/Financing-of-the-terrorist-organisation-ISIL.pdf.coredownload.inline.pdf>

¹¹¹ Typologies on the circumvention of targeted sanctions against. (n.d.-e). <https://www.moj.gov.ae/Content/Userfiles/Assets/Documents/9958f2f9.pdf>

¹¹² Eleventh report of the Analytical Support and Sanctions Monitoring Team submitted pursuant to resolution 2501 (2019) concerning the Taliban and other associated individuals and entities constituting a threat to the peace, stability and security of Afghanistan. (2020). <https://docs.un.org/en/S/2020/415>

¹¹³ (2016). (rep.). *7th report of the Analytical Support and Sanctions Monitoring Team submitted pursuant to res. 2255 (2015) concerning the Taliban and other associated individuals and entities constituting a threat to peace, stability & security of*

Democratic People's Republic of Korea: Crypto & Lazarus Group

Circumvention Method

Since circa 2017, the Democratic People's Republic of Korea state cyber-actors, principally the Lazarus Group, have been accused of executing successive high-value intrusions against centralised exchanges, defi bridges and wallet custodians. The most notable instance of such intrusions is the Ronin (a crypto entity) bridge exploit carried out in March 2022. This attack led to a loss of more than \$600 million (approximately 45 billion rupees).¹¹⁴

In such instances, the criminals typically use a series of steps to conceal the provenance of funds, rather than cashing them out immediately. In the cases mentioned it was done by using decentralised exchanges, privacy preserving rails and finally converting crypto to conventional non-crypto currency; the latter step, having been carried out via shell VASPs and intermediary brokers in permissive jurisdictions.¹¹⁵

Detection

According to investigations by Chainalysis, private blockchain-forensics firms and OSINT teams combine address-tagging, clustering algorithms, temporal/volume heuristics (e.g. Rapid consolidation spikes, repeated mixer-pool denominations, identifiable contract-call fingerprints), and cross-validation with UN Panel and Treasury inquiries to trace transaction clusters back to origin of theft.¹¹⁶

Mitigation/Enforcement

Countermeasures are concrete: OFAC/Treasury advisories and targeted SDN designations of persons, wallet addresses and services linked to Lazarus, sanctions against mixing services and sanctioned bridges, exchange compliance mandates and voluntary delistings, coordinated forensic-exchange asset freezes and recoveries (publicised recoveries and freezes in multiple jurisdictions), and structured cross-jurisdictional intelligence and FIU exchanges that enable quicker takedown or de-risking of complicit VASPs and OTC channels.¹¹⁷

Legal Instruments

The practical legal toolbox combines UN Panel of Experts findings (evidential briefs and recommendations feeding the 1718 Committee), the UN Democratic People's Republic of Korea sanctions regime (UNSCR 1718 and successor measures), national designation regimes (OFAC SDN listings, EU restrictive measures) and FATF standards/interpretive guidance on virtual assets and VASP obligations (notably Recommendation 15/interpretive notes and travel-rule implementation), each deployed to compel exchanges and service providers to perform

Afghanistan (S/2016/842).
<https://reliefweb.int/attachments/fa4c7e7a-a479-325c-af3d-541c6c8cd8ea/N1630960.pdf>

¹¹⁴ United Nations. (n.d.). UNSC S/2024/215. United Nations. <https://docs.un.org/en/S/2024/215>

¹¹⁵ U.S. Department of the Treasury. (n.d.). Press release JY1933. <https://home.treasury.gov/news/press-releases/jy1933>

¹¹⁶ United Nations. (2023). *Final report of the Panel of Experts submitted pursuant to resolution 2680*. United Nations. <https://docs.un.org/en/S/2024/215>

¹¹⁷ U.S. Department of the Treasury. (n.d.). Press release SM762. <https://home.treasury.gov/news/press-releases/sm762>

enhanced due diligence, submit sars and block suspect flows in real time.^{118 119}

Iran: Turkish State Bank facilitated financial circumvention

Introduction

From 2010 to 2015, the United Nations Security Council (UNSC) imposed sanctions on Iran to restrict Tehran's access to global finance. They sought to bar the nation from acquiring nuclear capability by prohibiting it from trading and transferring funds overseas. The sanctions regime attacked banking flows, energy trade, and access to foreign reserves. Iran required means of ongoing monetisation of oil exports without precipitating breaches, and Turkey, with geographic convenience and extensive trade relations, was a focal point. Halkbank, by virtue of state ownership and strategic location, was a fulcrum for these activities. The magnitude and sophistication of its activity render it an intriguing candidate for UNSC enforcement direction.¹²⁰

Causes of Circumvention

Some economic incentives drew the need for circumvention. Tehran needed a means of converting oil sales to available cash. For Ankara, keeping energy imports and economic relationships with Iran was a motive for supporting transactions that would otherwise be illegal. A few regulatory loopholes encouraged circumvention, too. Sanctions depended on

monitoring of trade finance, but the intricacies of commodity flows and humanitarian exceptions created blind spots in monitoring. The lack of high transparency in bullion markets and cross-border payments facilitated illicit transfers to evade detection.¹²¹

Mechanisms of Circumvention

Halkbank employed several avenues to evade sanctions, mainly through gold and food trade. Iranian oil revenues found their way into Halkbank accounts. Instead of sending the money abroad, the bank utilised it for the purchase of gold. Iran was cited as the destination by official records, but it was reported that the lion's share of the gold was shipped to third nations, specifically Dubai. It was subsequently sold and turned into cash available to Iranians. In this approach, loopholes in sanctions that originally permitted gold trade were utilised, illustrating how substitute commodities can be used to circumvent financial controls. With expanding pressure on gold transfers, players resorted to taking advantage of loopholes in humanitarian goods like food and medicine. Transactions were manipulated to be disguised as genuine humanitarian commerce, with financial transfers in support of illicit activity underneath. Most shipments did not actually exist beyond a piece of paper, generating

¹¹⁸ Reuters. (n.d.). N. Korea shipping firm skirts sanctions by renaming ships—UN Panel.

<https://www.reuters.com/article/markets/nkorea-shipping-firm-skirts-sanctions-by-renaming-ships-un-panel-idUSL1NoVZ3FB/>

¹¹⁹ Financial Action Task Force. (n.d.). FATF Recommendations—Site. <https://www.fatf-gafi.org/publications/fatfrecommendations/>

¹²⁰ Sen, A. (2018, May 8). *A brief history of sanctions on Iran*. Atlantic Council. <https://www.atlanticcouncil.org/blogs/new-atlanticist/a-brief-history-of-sanctions-on-iran/>

¹²¹ Reuters. (2010, September 20). Special report: Tracking Iran's nuclear money trail to Turkey. *Reuters*. <https://www.reuters.com/article/world/special-report-tracking-irans-nuclear-money-trail-to-turkey-idUSTRE68J1QQ/>

intricate webs of shell companies and counterfeit documents.¹²²

Detection and Legal Action

This case became headline news worldwide when U.S. officials opened up an investigation. In 2019, prosecutors charged Halkbank with fraud, money laundering, and violating the International Emergency Economic Powers Act. The indictment was notable because direct legal action against a foreign, state-owned bank is uncommon.

Many individuals were prosecuted. Merchants who arranged transactions, bank officials who approved activities, and intermediaries who arranged transfers were all involved. A deputy bank manager was convicted in the United States, and a central intermediary pleaded guilty and complied with investigators. These prosecutions were important in establishing that institutional actors could be prosecuted, even within politically sensitive environments.¹²³

Political and Diplomatic Implications

The case put a strain on U.S.–Turkey relations. Turkish officials were in defence of Halkbank's actions, insisting that the bank had respected sanctions exemptions in letter. Critics claimed that Turkey placed economic interest and energy security above international commitments. The incident illustrated how politics can complicate

enforcement and reinforced the national policy's impact on sanctions compliance.¹²⁴

Russia's Shadow Fleet (Post-2022)

Following the Russian invasion of Ukraine, widespread sanctions were imposed upon it by G7 nations, the European Union as well as certain other states allied with the aforementioned. Certain salient measures included embargoes on Russian seaborne oil imports, and price caps on oil and oil products to reduce profits even in case of purchases. As a result, Russia allegedly made use of an extensive fleet of ships that are often referred to as "shadow fleet" or "dark fleet" in order to circumvent the embargoes and sanctions imposed on goods of Russian origin.¹²⁵

Circumvention Method

A state-enabled shadow fleet comprised of hundreds of crude tankers, with estimates varying cohort counts in open reporting range from several hundreds to more than 1,000 vessels, has been used to evade the G7/EU US\$60/barrel price cap and import bans, moving sanctioned crude through reflagging and intermediary ship-to-ship (STS) transfer chains to neutral ports and third-party buyers.^{126 127}

Tactics

Operators of such ships often rely on flags-of-convenience (such as Panama, Liberia, Gabon and similar registries), frequent reflagging and management transfers, deliberate AIS/LRIT disablement and spoofing to "go dark" during

¹²² Schanzer, J. (2018, January 8). The biggest Sanctions-Evasion scheme in recent history. *The Atlantic*. <https://www.theatlantic.com/international/archive/2018/01/iran-turkey-gold-sanctions-nuclear-zarrab-atilla/549665>

¹²³ Major Turkish bank prosecuted in unprecedented Iran sanctions evasion. (n.d.). <https://www.iranwatch.org/our-publications/articles-reports/major-turkish-bank-prosecuted-unprecedented-iran-sanctions-evasion-case>

¹²⁴ US Charges Turkey's Halkbank with Evading Iran Sanctions. (2021, April 27). OCCRP. <https://www.occrp.org/en/news/us-charges-turkeys-halkbank-with-evading-iran-sanctions>

¹²⁵ Russia's "shadow fleet": Bringing the threat to light. (n.d.-d). [https://www.europarl.europa.eu/RegData/etudes/BRIE/2024/766242/EPRS_BRI\(2024\)766242_EN.pdf](https://www.europarl.europa.eu/RegData/etudes/BRIE/2024/766242/EPRS_BRI(2024)766242_EN.pdf)

¹²⁶ The Insider. (n.d.). Israeli firms supplying tools for Russia despite sanctions. <https://theins.ru/en/news/280756>

¹²⁷ UNITED24 Media. (n.d.). Israeli firms supplying tools for Russia's S-400 and Su-35—Investigation. <https://united24media.com/latest-news/israeli-firms-supplying-tools-for-russias-s-400-and-su-35-production-despite-sanctions-investigation-finds-7616>

transits, nocturnal STS crude transfers in international waters and rendezvous points and use of older tonnage supported by opaque insurers and underwriting chains to minimise visible exposure, a reported statistic that ~72% of shadow assets exceed 15 years of age is cited in some analytic products, but flagged here as (unverified) pending primary registry validation.

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Mitigation/Enforcement

Enforcement instruments have targeted vessels and managing companies for designation/blacklisting, prohibited Western P&I and re-insurance services for cap-evading shipments, required enhanced due diligence by correspondent banks and commodity traders, and effected port-call denials and asset restrictions coordinated across coalition partners. Published sanction lists and insurance-market advisories record specific vessel and owner designations.¹³⁰

Legal Instruments

The operational legal toolkit is wide ranging. It includes the G7 price-cap framework. This sets a cap of US\$60 per barrel for crude oil aimed at significantly reducing sales revenue for Russia enterprises. Such a mechanism was implemented through service prohibitions and is the cornerstone of European drive towards decoupling from the Russian economy.¹³¹

EU sanctions packages and Council Regulations having implemented embargoes and price-cap mechanisms is in addition to a general trend of OFAC designation of Russian authorities¹³²

CONCLUSION

The circumvention of sanctions is a multi-faceted issue deriving its roots from major economic, political, technological, legal, as well as administrative factors. These include profit motives induced black market pricing but also include survival economics, third-country incentives, financial system complexities and state sponsorship.

Patronage & elite networks also play a major role weak governments, geopolitical rivalries, fragmented global cooperation, jurisdiction shopping, crypto currencies and digital assets, crypto obfuscation, darknet enabled encrypted communication, AI-induced obfuscation, maritime tech manipulation, cyber operations, judicial gaps, loopholes in designation/delisting, selective enforcement and weak domestic legislation. These facets not only induce but also augment the feasibility of circumventions. Circumvention key instruments can be categorised into maritime, private sector, financial, cybertech, and legal mechanisms. These encompass everything from ghost fleets with STS and AIS manipulations to shell companies run by straw men falsifying

¹²⁸ U.S. Department of the Treasury. (n.d.). Press release JY2700. <https://home.treasury.gov/news/press-releases/jy2700>

¹²⁹ U.S. Department of the Treasury. (n.d.). Press release JY2785. <https://home.treasury.gov/news/press-releases/jy2785>

¹³⁰ Atlantic Council. (n.d.). The threats posed by the global shadow fleet and how to stop it. <https://www.atlanticcouncil.org/in-depth-research-reports/report/the-threats-posed-by-the-global-shadow-fleet-and-how-to-stop-it/>

¹³¹ European Commission. (2022). G7 price cap press release. https://ec.europa.eu/commission/presscorner/detail/en/IP_22_7468

¹³² Reuters. (2022, December 2). EU's \$60 oil price cap approved with adjustment mechanism. <https://www.reuters.com/business/energy/holdout-poland-approves-eus-60-russian-oil-price-cap-with-adjustment-mechanism-2022-12-02/>

documents; from spoofing and jamming to legal arbitrages; and from FTZ exploitation to TBML.

Resultantly, the UNSC, with its powers and influence, can play an instrumental role in ensuring that the aforementioned modalities of circumvention are duly curtailed and that the enforcement of sanctions regimes is made more robust; for, as Socrates pointed out millennia ago, *“Laws are not made for the sake of being spoken, but for the sake of being obeyed.”*